Development Budget - Sources and Uses

Ashby Mill Lofts | Budget update as of August 1, 2025 | Prepared by Riverside Heritage Development LLC

Sources

	Source	Amount
3	Construction loan - Piedmont Community Bank	$18,500,000
4	Federal historic tax credit equity	$4,329,600
5	Virginia historic tax credit proceeds	$5,043,000
6	Sponsor equity	$2,677,400
7	Deferred developer fee	$600,000
8		
9	Equity bridge loan $1,700,000, matures 3/31/2026	(memo)
10	Interim only; repaid from federal equity installment 3	
11		
12	**Total sources**	**$31,150,000**

Uses

14	Acquisition - building	$1,540,000
15	Acquisition - land	$910,000
16	Hard construction (contract plus change orders)	$22,540,000
17	Site work and parking lot	$420,000
18	Furniture, fixtures and equipment	$290,000
19	Architecture and engineering	$1,150,000
20	Legal, accounting and cost certification	$450,000
21	Insurance, taxes, interest and permits	$1,000,000
22	Developer fee	$2,750,000
23	Financing costs and reserves	$700,000
24	**Total uses $31,750,000**	**$31,750,000**
25	**Gap ($600,000)**	**($600,000)**

Qualified Cost Analysis

	Line item	Qualified	Amount
3	General conditions	Yes	$1,320,000
4	Selective demolition	Yes	$860,000
5	Masonry restoration	Yes	$1,950,000
6	Structural repairs	Yes	$1,640,000
7	Roofing	Yes	$940,000
8	Rough carpentry	Yes	$1,160,000
9	Finish carpentry and millwork	Yes	$1,050,000
10	Doors and hardware	Yes	$620,000
11	Interior partitions and drywall	Yes	$1,890,000
12	Flooring	Yes	$980,000
13	Painting	Yes	$540,000
14	Plumbing	Yes	$1,960,000
15	HVAC	Yes	$1,860,000
16	Electrical	Yes	$1,710,000
17	Windows, furnish and install	Yes	$1,240,000
18	Elevators	Yes	$690,000
19	Fire protection	Yes	$520,000
20	Contractor fee and overhead	Yes	$1,020,000
21	Bonds and permits (contractor)	Yes	$190,000
22	**Hard cost subtotal $22,540,000**	Yes	**$22,540,000**
23	Architecture and engineering	Yes	$1,150,000
24	Legal and accounting (qualified part)	Yes	$310,000
25	Construction-period interest and insurance	Yes	$600,000
26	Permits and fees	No	$220,000
27	Property taxes during construction	No	$180,000
28	Financing fees	No	$300,000
29	Operating and lease-up reserves	No	$400,000
30	Acquisition - building	No	$1,540,000
31	Parking lot	Yes	$420,000
32	Acquisition - land	No	$910,000
34	Furniture, fixtures and equipment	Yes	$290,000
38	**Total qualified costs $25,310,000**		**$25,310,000**
40	Developer fee (not included above)		$2,750,000

Notes to the budget

1. Hard construction reflects the general contractor's contract sum as adjusted by approved change orders.

2. Qualified costs are an estimate prepared by the developer. Final qualified rehabilitation expenses will be set by the cost certification.

3. The equity bridge loan is shown as a memo line. It funds equity installments in advance and is repaid when the installments are received.

4. Reserves are sized at six months of operating expenses and debt service.

Budget history

5. This budget replaces the version dated January 15, 2024 that was attached to the operating agreement.

6. Changes since the prior version reflect approved change orders, updated interest costs and the current developer fee.

7. All figures are in US dollars and rounded to the nearest dollar.